

Miti Shah & Associates

Chartered Accountant

PRIVATE & CONFIDENTIAL

26 June, 2026

To,
The Board of Directors
Vision Softech Facilities Private Limited
Salarpuria Windsor, 3, Ulsoor Road, 4th Floor,
Bangalore, Karnataka, India, 560042

Sirs,

Sub: Determination of fair value of Compulsorily Convertible Debentures of Vision Softech Facilities Private Limited ('Vision Softech' or 'the Company') for compliance with the Foreign Exchange Management Act, 1999 and rules made thereunder

1. BACKGROUND AND ENGAGEMENT SCOPE

Vision Softech Facilities Private Limited incorporated under the Companies Act, 2013 having CIN: U70100KA2007PTC042250. The Company was incorporated on 26 March, 2007 and has its registered office at Bangalore, Karnataka. The Company is engaged in the business of construction, design, development and maintenance of commercial buildings, software services, buying and selling of hardware and software, business process outsourcing etc in India.

The authorised share capital of the Company as on the date of valuation is INR 10,00,000 divided into 1,00,000 equity shares of INR 10/- each.

The Company is closely-held and its shares are not traded on any recognized stock exchanges in India.

The paid-up share capital of the Company as on the valuation date is as follows:

Sr No	Class of Shares	Number of Shares	Paid up Capital (INR)
1	Ordinary Equity Shares of INR 10 each	50,000	5,00,000
Total		50,000	5,00,000



The shareholders as on the valuation date are:

Sr. No.	Name of Shareholder	Number of equity shares held of INR 10/ each	Paid up Capital (INR)
1.	Sattva Developers Private Limited	18,000	1,80,000
2.	Darshita Landed Properties LLP	20,000	2,00,000
3.	Sattva Real Estate Private Limited	12,000	1,20,000
Total		50,000	5,00,000

The details of the Board of Directors as on the valuation date are:

DIN/DPIN/PAN	Name	Designation	Date of Appointment
00380437	Pradyumna Kumar Mishra	Director	21 July, 2021
11013324	Shrikant Khaitan	Director	12 June, 2025

2. PROPOSED TRANSACTION

Based on discussions with the management, we understand that the Company proposes to issue Compulsorily Convertible Debentures ('CCDs') on a private placement basis, of INR 10/-, as under.

Sr No	Name of subscriber	Number of CCDs	Aggregate CCD subscription amount (INR)
1	Horizon Industrial Parks Limited	6,68,09,727	66,80,97,270

Clause (i) of Explanation to Rule 23 of the Non-Debt Instrument Rules, 2019 ('**Non-Debt Instrument Rules**') provides that investment made by an Indian Entity ('IE') that has received foreign investment shall be reckoned as indirect foreign investment for the investee Indian company if the IE (i) is not owned and not controlled by resident Indian citizens, or (ii) is owned or controlled by persons resident outside India. Rule 23 of the Non-Debt Instrument Rules provides that any downstream investment that is reckoned as indirect foreign investment shall comply *inter alia* with pricing guidelines as are applicable for foreign investment.

As per Rule 21(2)(a)(ii) of the Non-Debt Instrument Rules, issue of equity instruments of an Indian company, to a person resident outside India, shall not be at a price lesser than the value determined as per any internationally accepted pricing methodology for valuation, on an arm's length basis, duly certified by a Chartered Accountant.

Equity instruments have been defined under the Non-Debt Instrument Rules to mean equity shares, convertible debentures, preference shares and share warrants issued by an Indian company.

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It is our understanding that issue of CCDs by the Company to Horizon Industrial Parks Limited shall be reckoned as 'indirect foreign investment' made by Horizon Industrial Parks Limited in the Company; accordingly, in terms of the above discussion, issue of CCDs of Vision Softech shall not be at a price lesser than the value determined as per any internationally accepted pricing methodology for valuation, on an arm's length basis, duly certified by a Chartered Accountant.

This report is being issued to comply with the afore-stated requirements of the Non-Debt Instrument Rules for the issue of CCDs by the Company to Horizon Industrial Parks Limited.

The terms of the CCDs are attached as **Annexure 2** to this report.

The valuation date is 22 June, 2026 ('**Valuation Date**').

3. VALUE RECOMMENDATION

The Net Asset Value ('NAV') method has been adopted to determine the fair value of the CCDs of the Company. Please refer to **Section 4 - Valuation Methodologies** for a discussion on the various valuation approaches available and the reason why the NAV method was chosen as the most appropriate method in this case.

As per the terms of issue, every 825 (eight hundred and twenty five) CCDs are convertible into 1 (one) Equity Share of the Company, provided that upon the occurrence of an Event of Default, each CCD shall be convertible into 1 (one) Equity Share. Based on our valuation analysis, the fair market value of the Equity Shares of the Company as at the Valuation Date is lower than their face value of INR 10 per share (kindly refer to **Annexure 1** for a detailed analysis of the same). However, as per the provisions of the Companies Act, 2013, equity shares cannot be issued at a price below their face value. Accordingly, notwithstanding the fair market value of the underlying Equity Shares, the minimum value attributable to an Equity Share for conversion purposes has been considered as INR 10 per share.

In the event the CCDs are converted in accordance with the ordinary conversion ratio of 825:1, the value attributable to each CCD, based on the underlying equity value, would be substantially lower than INR 10 per CCD. Similarly, even under the default conversion ratio of 1:1, the fair value of the underlying Equity Share is lower than INR 10 per share. In either scenario, the effective conversion price would be below the face value of the Equity Shares, which would not be permissible under the Companies Act, 2013. Accordingly, having regard to the statutory restriction on issuance of shares below their face value and the face value of the CCDs being INR 10 each, we have considered INR 10.00 per CCD as the fair market value of the CCDs as at the Valuation Date.


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If there are any questions or in the event additional information is required from our end, please do feel free to contact us.

Sincerely yours,




Miti Shah & Associates

Chartered Accountant

ICAI Registration No: 115783

Firm Reg. No. 152884W

UDIN: 26115783OWGANZ7783

4. VALUATION METHODOLOGIES

The key features of the CCDs are:

- The CCDs will have a face value of INR 10 (Indian Rupees Ten Only) each and shall be issued in dematerialised form.
- The CCDs shall be unsecured, non-redeemable and compulsorily convertible to Equity Shares.
- The CCDs shall carry coupon of 12% (twelve per cent) per annum on the CCD Face Value, and upon occurrence of an Event of Default (as agreed between the Company and the CCD Holder) the coupon shall increase to 18% (eighteen per cent) per annum on the CCD Face Value, computed from the date of issuance of the CCD and shall accrue until fully paid.
- Each CCD shall be convertible into Equity Shares at the option of the CCD Holder, as under:
 - At any time after the allotment of the CCD; or
 - Upon occurrence of any of any of the identified events
- Unless converted, the term of the CCDs shall be 10 years.
- Every 825 (eight hundred and twenty five) CCDs shall be convertible into 1 (one) Equity Share ("**Conversion Ratio**"); provided that, upon the occurrence of an Event of Default, each CCD shall be convertible into 1 (one) Equity Share ("**Default Conversion Ratio**").

Given that CCDs need to be valued as equity instruments, in order to determine the fair value of the CCDs, we shall need to value the equity shares of the Company.

Vision Softech is an unlisted entity, ie the equity shares of the Company are not listed on any recognized stock exchange. Accordingly, internationally accepted valuation approaches and methods have been considered to determine the fair value of equity shares of the Company.

There are various approaches which may be used for valuation of a privately held company:

- The Market Approach
- The Income Approach
- The Cost or Asset Approach

In performing a valuation exercise, the valuer should consider all three approaches and select the most appropriate approach. The selection would involve consideration of various factors such as the history, nature, stage of the development of the company, the nature of its assets and liabilities, its capital structure and also the availability of reliable, comparable and verifiable data that will be required to perform the analysis.

The various methodologies considered for the said valuation are explained as below:



Market ApproachComparable Companies' Multiples Method

Valuation under the Market Approach entails the application of appropriate market-based multiples selected from comparable companies. This method is based on idea of determination of the price at which the company will be exchanged in the public market and is particularly useful for valuing companies that are currently profitable and expected to continue making profits in the foreseeable future.

Comparable Transactions Multiples Method

This method uses multiples derived from valuation of comparable companies based on M&A deals involving comparable companies. This method is based on the principle that comparable transactions/ market valuations taking place between informed buyers and informed sellers, incorporate all factors relevant to valuation.

The Company is not listed on any stock exchange; further, we do not have adequate information available for recent transactions of comparable or identical businesses which have been traded in the active market. We have therefore not considered the Market Approach as an appropriate method for this valuation.

Income Approach

Under this approach, the value of a business is determined based on the present value of its future earnings/ cash flows. Expected returns on an investment are discounted or capitalized at an appropriate rate of return to reflect investor risks and hazards.

The most commonly used income approach is the DCF method. DCF represents the net present value ('NPV') of projected cash flows from the business to all providers of capital, net of the cash needed to be invested for generating the projected growth. The concept of DCF method is based on the principle that the value of a business or asset is inherently based on its ability to generate cash flows for the providers of capital.

The DCF method can be applied where the asset does not have any/ has fewer market comparable or comparable transactions or where the asset is an income producing asset for which the future cash flows are available and can reasonably be projected.

In the present case, we understand that the Company is in its initial stage of business operations and has not yet commenced generating any revenue/ income/ cash flows from its projects. Further, we are also given to understand that there is significant uncertainty on the amount and timing of income/ future cash flows on the projects as on date of the valuation. Accordingly, considering the limited visibility on future cash flows, the income approach has not been considered appropriate for the present valuation.

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Cost or Asset Approach

The cost approach arrives at valuation in terms of stated net worth of the Company. It is useful when the other methods do not adequately reflect the fair value.

Since the Company is in the initial stage of business operations, it does not have predictable cash flows and hence it is difficult to prepare the financial projections with a degree of certainty about the future. Similarly, since the Company is not listed and does not have any operations, information about market comparables is not readily available. Hence, we have adopted the Net Assets Value Method to arrive at the fair value of the equity shares of the Company. This method uses the value of the net assets carried in the balance sheet of the entity to derive the equity value.

We have based our calculations on the financial position of the Company as on 22 June 2026 to arrive at the book values of the assets and liabilities. Kindly refer to **Annexure 1** for a detailed analysis of the same.

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5. SCOPE LIMITATIONS

- My work does not constitute an audit in accordance with the generally accepted auditing standards or an examination of internal controls or other attestation or review services. Accordingly, I am unable to and do not express an opinion or any form of assurance on the financial projections or any financial or other information or any operational data and internal controls of the company. No responsibility is assumed for matters of a legal nature. I was not required to carry out a legal due diligence review.
- Valuation analysis and results are specific to the purpose of valuation and the valuation date that is agreed with us. It may not be valid for any other purpose or as at any other date. Also, it may not be valid if done on behalf of any other entity.
- The valuation arrived at in this report is based on the methodology outlined and assumptions listed. It is not representative of market value which may be realized, as market value is dependent on capital market conditions, industry forecasts, enterprise value and several other factors.
- I have relied on the information contained in the public domain and other documents in our possession concerning the value and useful conditions of all investments in securities or partnership interests, and other assets or liabilities except as specifically stated to the contrary in this report.
- The fee for the preparation of this report is not contingent to or dependent on the reported value of the shares of the company. I acknowledge that I do not have any present or contemplated financial interest in the Company.
- A draft of this report was shared with the Management for confirmation of facts and other inputs provided by the Management. The draft report has been duly confirmed by them for the facts etc.
- The information contained herein and our report is absolutely confidential. This report is only to be used in its entirety and for the purpose stated in the report. No third party should rely on the information or data contained in this report without the advice of a Registered Valuer, Accountant or Legal Advisor.
- This report is subject to the laws of India.


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Annexure 1

VISION SOFTECH FACILITIES PRIVATE LIMITED		
CALCULATION OF FAIR VALUE OF EQUITY SHARES BASED ON THE NET ASSETS METHOD AS PER THE UNAUDITED FINANCIAL STATEMENTS AS ON 22 JUNE, 2026		
Sr No	Particulars	Amount (INR)
I	Assets:	
1	Non-Current Assets	
	(a) Fixed Assets	-
	(i) Tangible Assets	-
	(ii) Intangible Assets	-
	(iii) Capital Work in progress	-
	(b) Non Current Investments	-
	(c) Deferred Tax Assets (Net)	2,65,280
	(D)Long Term Loans and Advances	-
	(E)Other Non Current Assets	11,08,54,000
	Total Non-current Assets (A)	11,11,19,280
2	Current Assets	
	(a) Inventories	-
	(b) Trade Receivables	-
	(c) Cash and Cash Equivalents	5,89,199
	(d) Short term Loans and Advances	-
	(e) Other Current Assets	55,00,000
	Total Current Assets (B)	60,89,199
	Total Assets (C = A + B)	11,72,08,479

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Sr No	Particulars	Amount (INR)
II	Liabilities:	
1	Non-Current Liabilities	
	Long Term Borrowings	-
	Total Non-Current Liabilities (D)	-
2	Current Liabilities	
	(a) Short-Term Borrowings	12,44,51,266
	(b) Other Financial Liabilities	21,585
	(c) Other Current Liabilities	25,014
	(d) Short Term provisions	-
	Total Current Liabilities (E)	12,44,97,865
	Total Liabilities (F = D + E)	12,44,97,865
	Book Value of Equity Share Capital (G = C-F)	(72,89,386)
	Number of equity shares (H)	50,000
	Value per share (In INR) (G/H)	(145.79)

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Annexure 2**TERMS AND CONDITIONS OF COMPULSORILY CONVERTIBLE DEBENTURES ("CCDs") BY VISION
SOFTECH FACILITIES PRIVATE LIMITED**

Set out below are the following key terms and conditions of the CCDs:

1. Compulsorily Convertible Debentures

- (a) Each CCD issued by the Company shall have a face value of INR 10 (Indian Rupees Ten) ("**CCD Face Value**") and shall be issued in dematerialised form. Each Person holding the CCDs shall be referred to as the "**CCD Holder**".
- (b) The CCDs shall be unsecured, non-redeemable and compulsorily convertible to Equity Shares in accordance with the terms of this Error! Reference source not found..

2. Interest

- (a) The CCDs shall carry coupon of 12% (twelve per cent) per annum on the CCD Face Value, and upon occurrence of an Event of Default the coupon shall increase to 18% (eighteen per cent) per annum on the CCD Face Value, computed from the date of issuance of the CCD and shall accrue until fully paid.
- (b) The coupon in paragraph (a) above shall be subject to applicable withholding Taxes under the IT Act.

3. Maturity and Conversion**(a) Conversion:**

Each CCD shall be convertible into Equity Shares at the option of the CCD Holder upon receipt of written notice by the Company from such CCD Holder, as follows:

- (i) At any time after the allotment of the CCD; or
- (ii) Upon occurrence of any of any of the following events: (x) conveyance of the KIADB Land to the Company under a registered sale deed from KIADB; (y) Company having received approval from the KIADB for change in shareholding of the Company; or (z) expiry of 10 (ten) years from the date of allotment of such CCD.

(b) Conversion Ratio

Every 825 (eight hundred and twenty five) CCDs shall be convertible into 1 (one) Equity Share ("**Conversion Ratio**"); provided that, upon the occurrence of an Event of Default under this Agreement, each CCD shall be convertible into 1 (one) Equity Share ("**Default Conversion Ratio**").

The Conversion Ratio, or the Default Conversion Ratio, as the case may be, will be appropriately adjusted for corporate actions such as any shares split, issue of bonus shares, consolidation of shares, combinations, recapitalisations and other similar events.



(c) Conversion Process:

- (i) On the relevant conversion date, which shall be no later than 5 (five) days of the written notice from the CCD Holder pursuant to paragraph (a)(ii) the Company shall, at its expense, take all actions required for such conversion in accordance with the requirements of the relevant depository / depository participant.
 - (ii) The Company shall file all relevant documents and forms with the Registrar of Companies and any other Governmental Authority as may be required under Applicable Law, in relation to the conversion and the allotment and issuance of the Equity Shares, along with all supporting documents within the timelines prescribed under Applicable Law.
 - (iii) Simultaneously with conversion of the CCDs, at the option of the CCD Holder, either:
 - A. unpaid Interest that has accrued shall be paid by the Company to the holder of the CCD; or
 - B. subject to applicable Law, Shares equivalent to the fair value of the unpaid Interest shall be issued to the CCD Holder.
- (d)** No fractional Shares shall be issued upon conversion of CCDs, and the number of Equity Shares to be issued shall be rounded up to the nearest whole number.
- (e)** If at any time the authorized share capital of the Company is not sufficient to effect the complete conversion of the then outstanding CCDs, the Company shall take all such corporate actions as may be necessary to increase/ reclassify the Company's authorized share capital and to issue the Equity Shares to be issued pursuant to conversion of the CCDs, so that the Company can issue the Equity Shares on the relevant conversion date.

4. Transferability.

The CCDs shall be transferable in accordance with, and subject to, the terms of this Agreement.


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